

# Pricing in geopolitical risk: Oil, inflation and the cycle's next phase

## CIO STRATEGY NOTE

From Ukraine to Gaza, Venezuela to Iran, geopolitical conflict is on the rise around the world. This raises an important question: *How should asset allocators be onboarding this kind of uncertainty into their investment processes?*

Here's how we're approaching this precarious moment. First, we want to steady the ship by providing some degree of protection over our portfolios against the unpredictable actions of the U.S. administration, as well as any other flashpoints that could pop up globally. That means owning assets like gold, as well as potentially implementing more hedges.

Next, it's time to look for opportunities. In a risk-off environment, investors often sell assets that shouldn't necessarily be sold. That creates attractive buying opportunities for the discerning investor. This kind of market also offers a chance to rotate from some of the winners to areas that may be under-owned, thereby deploying (or re-deploying) capital more effectively.

Finally, it is worth examining whether geopolitical risks demand changes to our geographic allocation. That is something we'll be evaluating on an ongoing basis as the situation in Iran and other conflicts continue to play out.

For any asset allocator, the economic fundamentals must be the primary driver of long-term allocations—and for now, we believe the fundamentals still look good. That's why, despite significant uncertainties, we continue to believe that markets will finish the year higher.

## Economic Outlook

### **Growth, interrupted**

*High oil prices threaten to impose higher costs across the economy, disrupting what has been a relatively resilient labour market and U.S. expansion.*

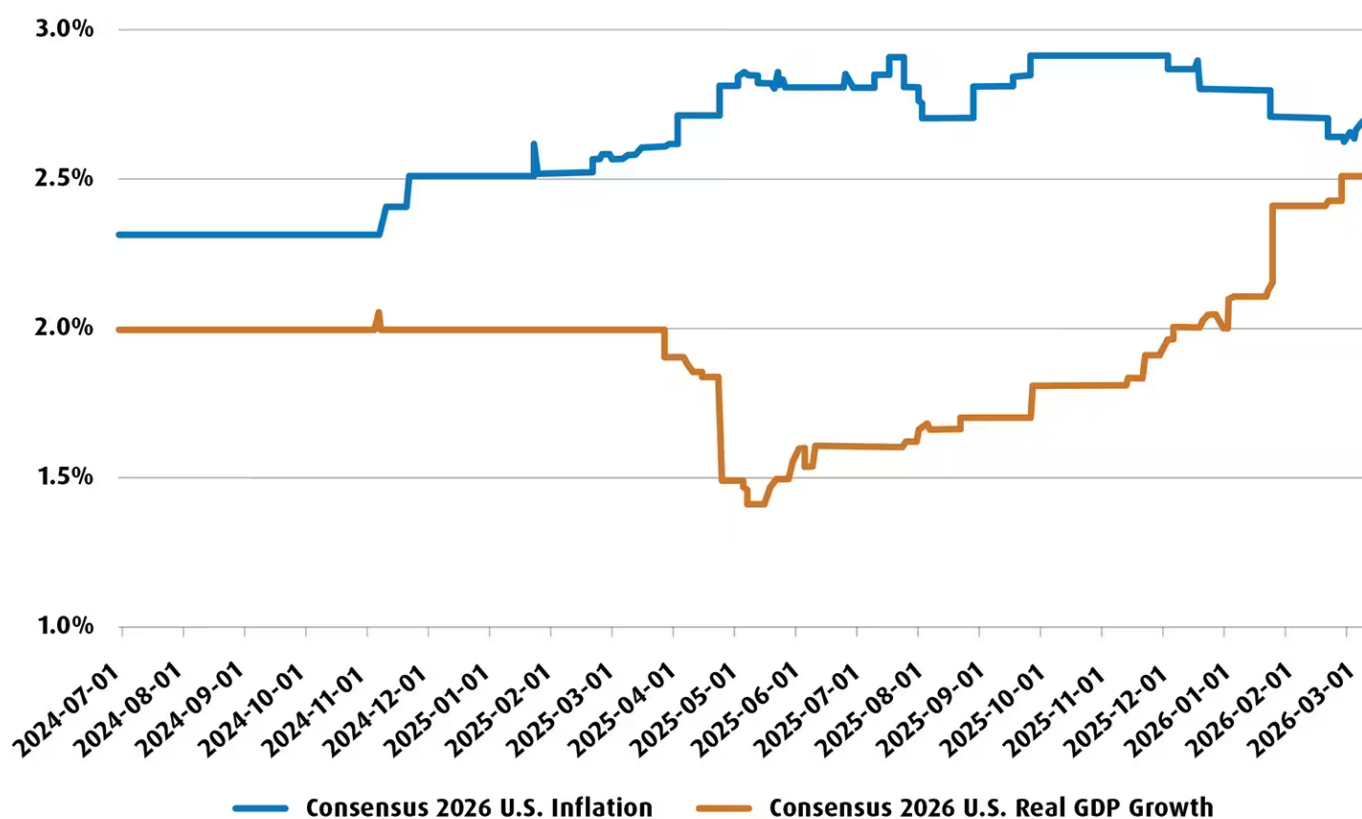
### **U.S. outlook**

The U.S. economy remains resilient, but the macro narrative is shifting under our feet. After several months of upward revisions to growth expectations, the cycle of increasingly optimistic forecasts may be approaching a natural ceiling—and that was before a downbeat jobs print for

February and the eruption of open conflict in the Middle East. Meanwhile, inflation expectations are starting to warm up again (see chart). The balance of risks is evolving quickly.

Domestically, consumer spending has remained firm, business investment has surprised to the upside, and activity indicators continue to point toward expansion. Surveys such as the ISM manufacturing index suggest that the economy has moved beyond the soft patch experienced earlier in the cycle. Yet both consumers and corporate sector are confronting a new, potentially significant constraint: geopolitical risk and the possibility that higher commodity prices begin to weigh on growth. The escalation of tensions in the Middle East has pushed oil prices higher, introducing what might be best described as a “gas tank tax” on households. Economic sensitivity rises quickly as oil prices climb. At US\$100 per barrel, the drag on economic activity would become materially more meaningful if prices remain elevated more than a few months.

There are two channels through which this risk operates. The first is the direct effect of higher energy costs on household purchasing power. The second—and potentially more important—is confidence. Absent a sustained shock to confidence, the U.S. economy remains capable of absorbing moderate commodity volatility. Historically, geopolitical shocks have had their greatest economic impact when they undermine sentiment rather than simply raise prices. Markets currently expect roughly two Federal Reserve rate cuts over the course of 2026—a baseline that remains broadly consistent with the macro backdrop. The Fed has little incentive to move aggressively in either direction—but inflation risks are re-emerging at the margin.



Bloomberg, as of March 1, 2026

## Canada outlook

Canada's economic trajectory continues to diverge from that of the United States. While the U.S. economy expands at a healthy pace, Canada is navigating a much softer growth environment.

Recent quarterly GDP data provided some encouragement, particularly after a stronger-than-expected fourth quarter. However, the broader trend remains subdued. Monthly GDP estimates suggest year-over-year growth of roughly 0.4%—technically expansionary, but far from robust.

The underlying drivers of that weakness remain familiar. Business investment continues to struggle, with private capital expenditures contracting for multiple quarters. Manufacturing activity is effectively in recession, with employment trends steadily declining as both cyclical and structural pressures weigh on the sector. Labour market data present a similarly mixed picture. Headline employment figures appear stable, but payroll surveys tell a different story. Once government-related hiring is excluded, private-sector employment growth has been far weaker—and at points in 2025 effectively negative. Trade uncertainty is also weighing on investment decisions. The upcoming renegotiation of the *United States Mexico Canada Agreement (USMCA)* has created an environment in which businesses remain hesitant to commit capital. The most likely outcome remains what could be described as an “escalate-to-de-escalate” dynamic: periods of political tension followed by a negotiated agreement that ultimately proves manageable. Even so, uncertainty itself can be damaging.

The result is an economy that is neither collapsing nor accelerating. Growth remains slow, and while monetary policy may provide some support, structural headwinds will continue to limit the pace of expansion.

## **International outlook**

Outside North America, the global economy is showing tentative signs of stabilization, but the drag on growth from the commodity price shock might be even greater there. Japan has emerged as a relative bright spot following recent election results that reinforce expectations of continued fiscal expansion. In an environment where government spending has become a key driver of growth, markets have responded positively to the prospect of sustained policy support. Europe is also showing early signs of improvement. Growth remains modest, but data from core economies such as Germany suggest improving macro conditions—and after several years of serial disappointment, even incremental gains represent a meaningful shift in the narrative.

Emerging markets, meanwhile, have demonstrated surprising resilience despite China's subdued growth profile. The Chinese economy remains stable but uninspiring—neither collapsing nor generating the kind of acceleration that historically drove expansion. Yet other emerging economies continue to benefit from strong trade flows, resilient commodity markets and supply chains tied to artificial-intelligence investment. The global picture prior to the Iran conflict was one of stabilization if not synchronized expansion. Growth ex-U.S. remains slower, but the risk of widespread economic deterioration *had* diminished. We will see if those conditions hold.

| Key risks                     | BMO GAM House View                                                                                                                                                                                                              | Implications (rising, diminishing or stable) |
|-------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| <b>Labour market weakness</b> | <ul style="list-style-type: none"> <li>• Diminishing short-term risk in U.S. labour market</li> <li>• AI-related disruption is overstated in near term</li> </ul>                                                               | Lowering risk profile                        |
| <b>Fed rate cut pricing</b>   | <ul style="list-style-type: none"> <li>• Inflation risks are muted but supply shock potential is moving incrementally higher</li> <li>• Markets pricing in cuts, which remains reasonable base case</li> </ul>                  | Neutral risk profile                         |
| <b>Geopolitics</b>            | <ul style="list-style-type: none"> <li>• Iran conflict escalation is elevated but impact depends heavily on oil prices and duration</li> <li>• Trade rhetoric remains a confidence risk rather than a systemic shock</li> </ul> | Rising risk profile                          |

## **Portfolio positioning**

### **Asset classes**

*A rise in volatility doesn't mean a full-scale retreat from risk assets, but certainly a more defensive posture. Liquidity also rises in importance in times like these.*

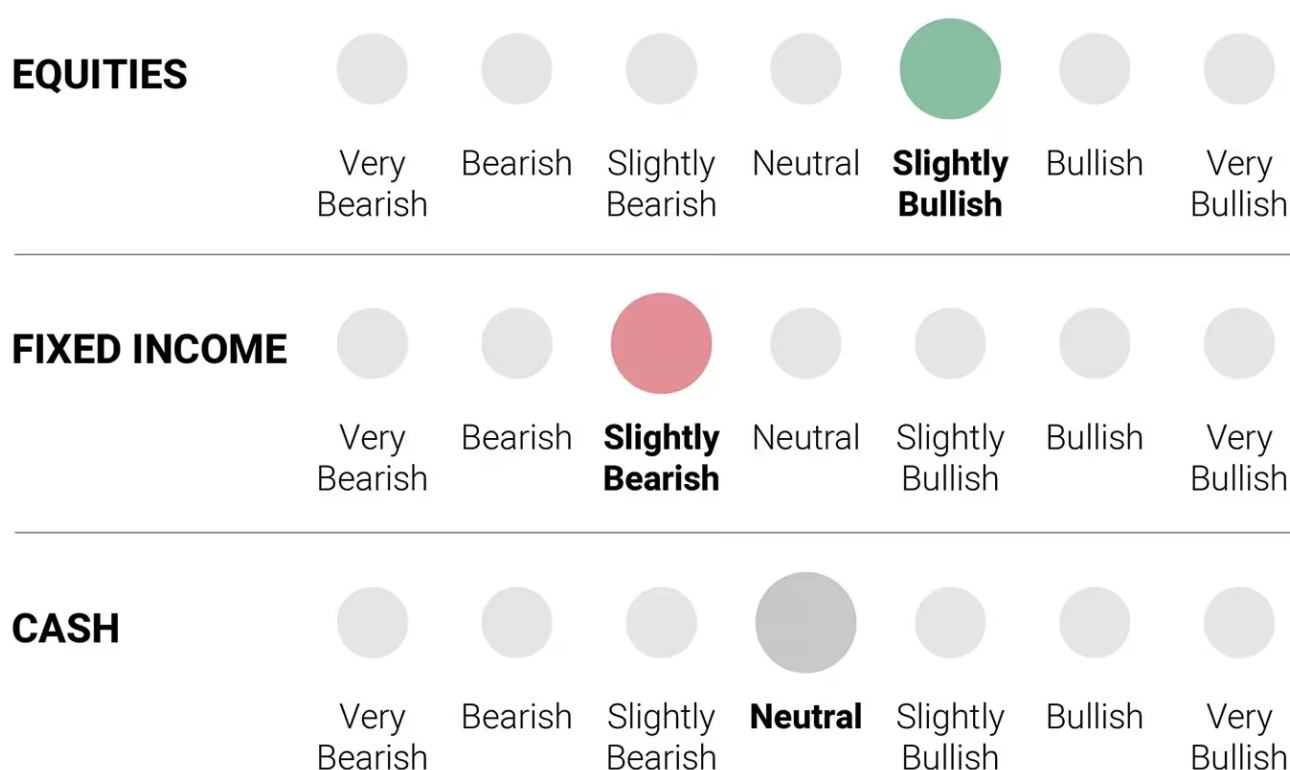
Geopolitical storm clouds have prompted the team to adjust its asset-allocation stance. While Equities remain the preferred asset class, our conviction has been reduced as volatility jumps. Stocks move down one notch to +1 (slightly bullish), reflecting a more cautious near-term outlook. Importantly, this change does not represent a wholesale rotation from risk assets, it reflects the reality that markets are currently navigating an environment of elevated uncertainty.

The key transmission mechanism linking the Middle East events to financial markets is the global energy complex, specifically oil prices. Energy shocks influence both inflation expectations and economic growth, creating a double wave of risk for financial markets. At present, it is still too early to characterize this as a full-fledged oil shock. Energy markets have experienced similar volatility in the past without producing lasting macroeconomic consequences. The critical question is duration: if elevated energy prices persist beyond the current quarter, the implications for growth and inflation become more significant.

From a monetary-policy perspective, the current environment does little as of now to materially change the Fed's baseline trajectory. Market expectations remain centered around approximately two rate cuts this year. That outlook reflects the balance between resilient economic growth and the possibility that inflation pressures could re-emerge through higher commodity prices. Fixed

Income positioning has been adjusted slightly more defensively, with the asset class moving from neutral to slightly bearish. This reflects the asymmetrical nature of current risks: while risk aversion could support bonds, inflation risks stemming from energy prices are likely to exert upward pressure on yields.

Cash, meanwhile, has been upgraded to neutral (o). Elevated market volatility increases the optionality value of liquidity, allowing portfolios to take advantage of tactical opportunities should risk assets experience deeper drawdowns.



## Portfolio positioning

### Equity

*U.S. equities retain leadership amid geopolitical volatility, supported by stronger fundamentals and sector resilience, while Emerging Markets face energy and currency headwinds.*

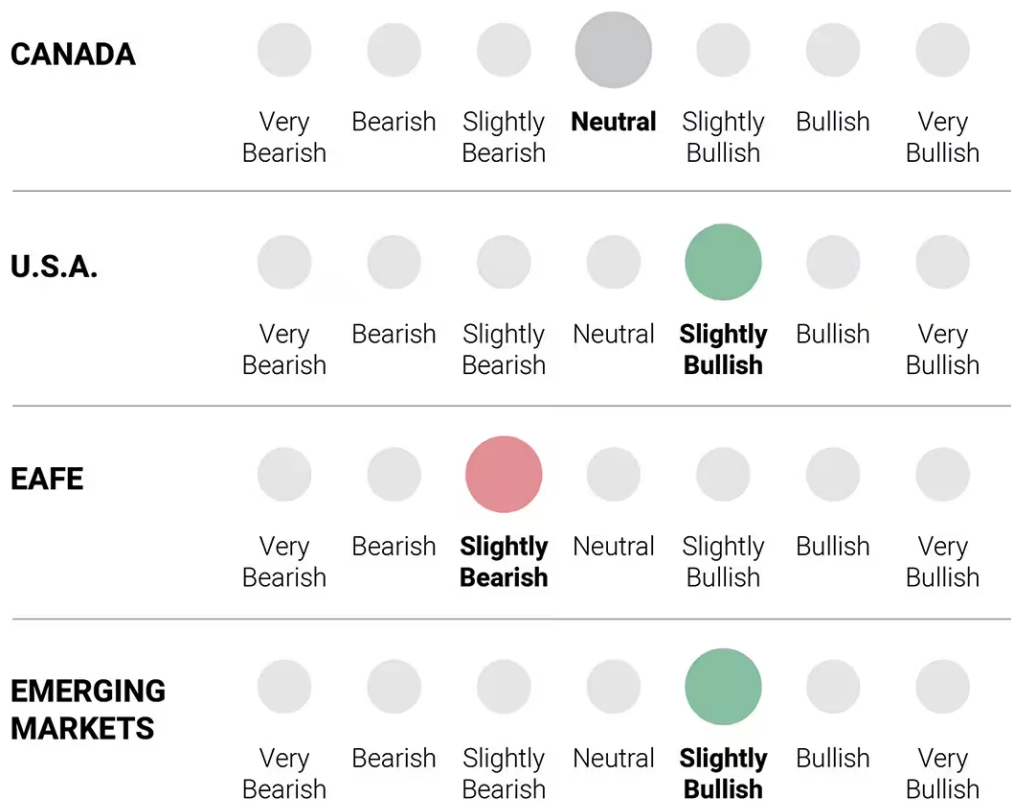
Regional positioning remains largely consistent with last month's outlook, though several incremental adjustments have been made to reflect evolving macro conditions. The United States remains the most attractive equity market globally. One reason is the relative insulation of the U.S. economy from energy shocks. Unlike many developed economies, the U.S. is effectively energy self-sufficient and even operates as a modest net exporter of oil. As a result, rising energy prices tend to have less severe macroeconomic consequences than they do in other regions or economies.

The composition of the U.S. equity market also provides a degree of resilience. Large sectors such as Technology and Health Care mean that a significant portion of the market is less sensitive to

commodity-driven inflation pressures, again *relative* to other regions and stock markets. Many of these companies also possess strong balance sheets and pricing power—characteristics that perform well during periods of volatility.

Our view on Canada remains neutral (0). Higher energy prices provide some near-term support for the Canadian economy and equity market, particularly given the country’s resource exposure. However, those benefits may prove temporary. Sustained increases in energy prices could contribute to higher inflation and tighter monetary policy, which would weigh on interest-sensitive areas such as real estate and consumer spending.

Emerging Markets find themselves contending with a strengthening U.S. dollar, which tends to tighten financial conditions across emerging economies. In addition, many large EM regions—including China and India—are significant oil importers, meaning that higher energy prices can act as a drag on growth. That said, opportunities remain within the emerging-market universe. Countries such as Brazil and Korea continue to exhibit attractive fundamentals and remain well represented in our portfolios.



## Portfolio positioning

### Fixed Income

*Higher energy prices are reviving inflation concerns, while resilient credit markets contrast with rising caution toward emerging-market debt.*

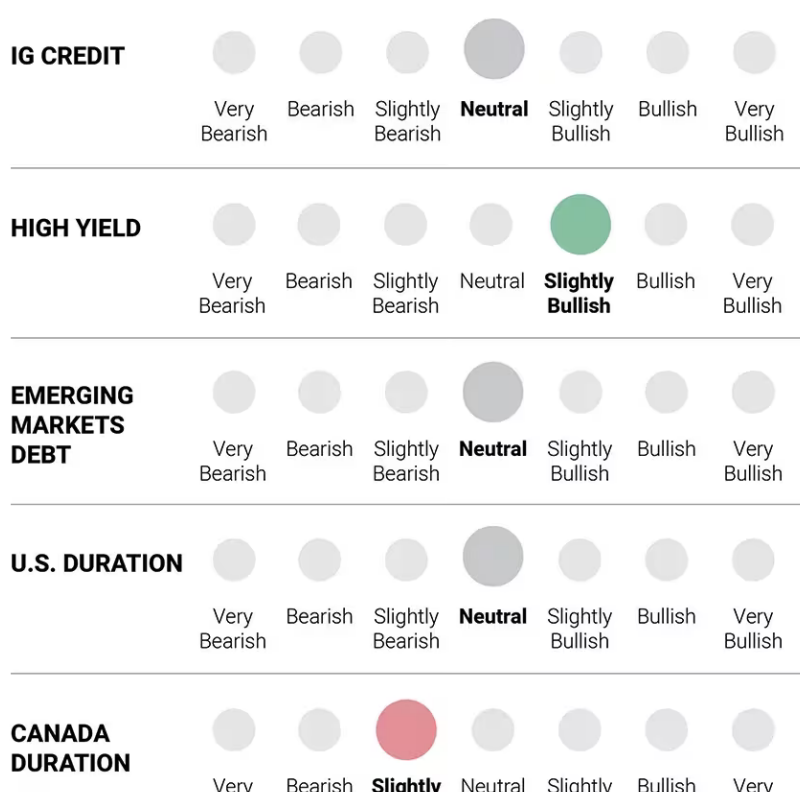
Fixed Income remains the most nuanced—and internally debated—segment of the portfolio. The

asset class is effectively caught in a tug-of-war between two competing macro forces: the possibility that geopolitical instability slows growth and supports bonds, and the countervailing inflationary impulse generated by higher energy prices. At the moment, the inflation scenario is proving more influential. The escalation in geopolitical tensions has lifted oil, and markets are increasingly focused on the consequences of sustained energy strength. When higher commodity prices feed through to consumer-price expectations, the immediate reaction in bond markets tends to be upward pressure on yields.

That dynamic is particularly relevant because the global economy entered this period of stress from a relatively strong starting point. In other words, growth risks have not yet deteriorated enough to offset inflation concerns. As a result, the team remains cautious on duration<sup>1</sup> overall.

Central bank behaviour reinforces this view. Historically, policymakers have been willing to “look through” temporary energy spikes when assessing inflation. What matters more is whether those price increases begin to influence inflation expectations more broadly. If oil prices remain elevated long enough to shift expectations higher, central banks may hesitate to deliver additional rate cuts even if growth begins to falter. For now, the bar for renewed rate hikes remains high. The global economy has already entered a policy-easing phase, and central banks are unlikely to reverse course quickly unless inflation expectations shift suddenly higher.

Credit markets present a slightly different picture. Corporate credit spreads remain relatively stable, supported by resilient North American-centric economic growth and healthy corporate balance sheets. The team’s stance toward investment-grade therefore remains neutral (0) while we have taken a slightly bullish view (+1) on high-yield. Where caution has increased is in emerging-market debt. Many emerging economies are large net importers of energy, and higher oil prices can place pressure on fiscal balances and currency stability.





## Portfolio positioning

### Style & factor (tactical)

*Market volatility is prompting a shift to Quality and selective Value exposures, favouring strong balance sheets and durable earnings—while remaining invested in long-term Growth themes.*

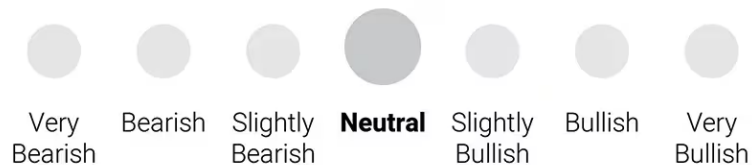
Recent volatility<sup>2</sup> has reignited the debate around factor leadership, particularly the balance between Growth, Value and Quality. Our view is that what we are seeing is less a structural shift in market leadership and more a tactical adjustment. The most notable development has been a modest rotation toward Value and Quality. This of course does not signal a broad retreat from Equities. Instead, investors are adjusting exposures at the margin—reducing beta<sup>3</sup> while remaining invested. In practical terms, that means reallocating toward companies with stronger balance sheets, more predictable earnings streams and durable cash flows.

Quality tends to outperform during periods when uncertainty rises because it offers earnings visibility. Companies with recurring or subscription-based revenue models, strong free cash flow and manageable leverage can weather economic volatility far better than firms dependent on cyclical demand. In the current environment, that definition increasingly describes a large portion of the Technology ecosystem—particularly businesses built around recurring revenue streams. At the same time, some traditional Growth segments have experienced sharp drawdowns, creating selective opportunities—software being one example. In our view, fears of an “AI-pocalypse” are overstated.

The sector picture is similarly becoming more nuanced. Semiconductor stocks—after a long period of leadership—are beginning to lose momentum, while areas of support can be found in commodity-linked sectors such as Energy and Materials. Rising oil prices have provided a tailwind, reinforcing the case for maintaining exposure to some cyclical segments of the market.

Overall, the message is one of balance rather than wholesale rotation. The broader growth cycle still remains intact, supported by resilient economic activity and ongoing investment in technology and infrastructure. But in a more volatile environment, selectivity matters more than style purity. Investors are increasingly blending growth exposure with quality characteristics and selective value opportunities—remaining invested while moderating risk.

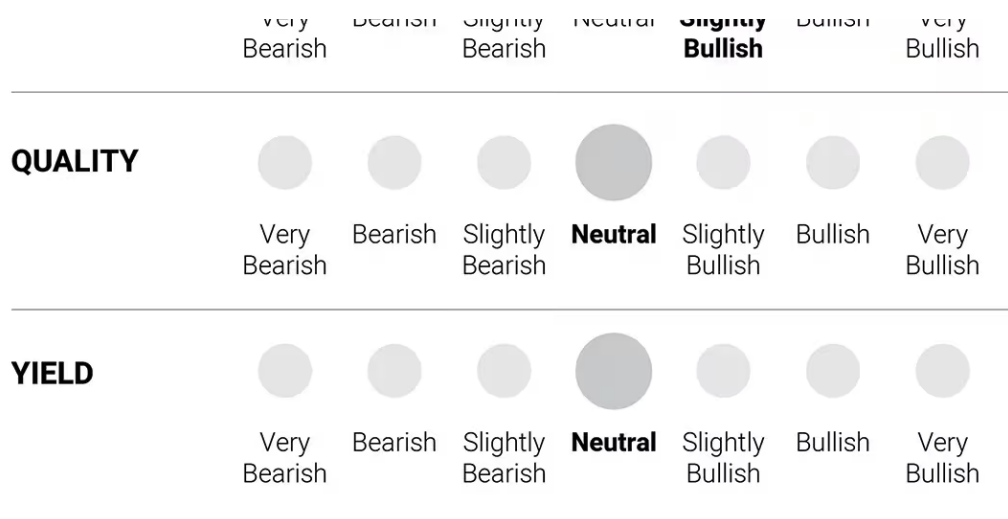
#### VALUE



#### GROWTH







## **Portfolio positioning**

### **Implementation**

*Renewed geopolitical risk highlights the importance of flexibility—balancing currency moves, Gold as portfolio insurance and opportunities amid market dislocations.*

During episodes of geopolitical stress, the U.S. dollar (USD) almost invariably strengthens as global capital gravitates toward perceived safe havens. That dynamic has been visible in recent weeks, with the Canadian dollar (CAD) weakening modestly against its U.S. counterpart. The move reflects the risk-off environment rather than a structural shift in fundamentals. In the short term, the dollar wins by default when uncertainty reigns supreme.

Looking further ahead, the trajectory of the CAD will depend on two primary variables: energy prices and interest-rate expectations. Higher oil prices can ultimately provide support for Canada's currency through the country's resource sector. However, if energy-driven inflation pushes global interest rates higher—or delays expected Fed rate cuts—that could reinforce U.S. dollar strength in the near term.

The team continues to view Gold as a form of portfolio insurance rather than a directional trade. That said, investors should recognize that even insurance assets can be volatile in the short term. During sharp market drawdowns, even traditionally defensive assets may temporarily sell off as investors raise liquidity or cover margin calls with more liquid, and less punished positions. This dynamic can create the impression that defensive positioning is failing precisely when volatility spikes.

For that reason, hedging strategies require discipline. Buying downside protection during periods of heightened volatility is often expensive and therefore less effective. Instead, the team emphasizes maintaining a diversified set of exposures. In some cases, the most effective defensive strategy is selective opportunism. When markets sell off broadly—particularly in response to geopolitical headlines—high-quality assets can become oversold alongside weaker ones. Taking advantage of those dislocations can improve long-term portfolio positioning.

## CAD



## GOLD

